



CONNPLEX CINEMAS LIMITED

(Formerly known as VCS Industries Limited)

VIGIL MECHANISM / WHISTLE BLOWER **POLICY**

Approved By	Board of Directors
Effective Date	16/10/2024

I. INTRODUCTION:

The Company believes in conducting business with fair and transparent manner by adopting highest standards of professionalism, honesty, integrity and ethical behaviour.

Any actual or potential violation of the Company's rules, regulations and policy governing the conduct of business is a matter of serious concern for the Company. The Company is therefore committed to developing a culture where it is safe for employees to raise concerns about instances if any, where such rules, regulations and policy are not being followed or any fraud has been committed or business has been conducted in an unethical manner.

This Policy will help the Company to maintain and encourage high moral standards, financial integrity, transparency and good governance in its business dealings.

The Vigil mechanism is implemented not only as a safeguard to unethical practices but also to resolve them at the earliest. This mechanism is intended to provide mechanism for reporting genuine concerns or grievance and ensure that deviations from the Company's Business Conduct Manual and Values are dealt with in a fair and unbiased manner as provided in Section 177 (9) of the Companies Act, 2013 read with rule 7 of the Companies Rules, 2014. The mechanism is also intended to cover the Whistleblower Mechanism aspect of the SEBI's (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Regulation 9A (6) of the Securities and Exchange Board of India (Prohibition of Insider Trading Regulations), 2015 ("Insider Trading Regulations") requires that every listed company establishes a Whistle Blower Policy for the purposes of reporting instances of leak of unpublished price sensitive information.

The objective of Whistle Blower Policy is to build and strengthen a culture of transparency and trust in the organization and to provide employees with a framework / procedure for responsible and secure reporting of improper activities (whistle blowing) within the company and to protect employees wishing to raise a concern about improper activity / serious irregularities within the Company.

The policy does not absolve employees from their duty of confidentiality in the course of their work. It is also not a route for taking up personal grievances.

II. DEFINITIONS:

Definitions of some of the key terms used in this mechanism are given below:

- **"Company"** means the Connplex Cinemas Limited (Formerly known as VCS Industries Limited) and all its offices.
- **"Audit Committee"** means the Committee constituted by the Board of Directors of the Company in accordance with Section 177 of the Companies Act, 2013 and with guidelines of SEBI (Listing Obligations and Disclosure Requirements) Regulation, 2015 and as amended from time to time.
- **"Competent Authority"** means the Managing Director of the Company and will include any person(s) to whom he may delegate any of his powers as the Competent Authority under this policy from time to time.

- **“Employee”** means every employee whose name appears on rolls of the company (whether working in India or abroad) including the functional Directors of the Company.
- **“Improper Activity”** means any activity by an employee of the Company that is undertaken in performance of his or her official duty, whether or not that act is within the scope of his or her employment, and that is in violation of any law or the rules of conduct applicable to the employee including but not limited to abuse of authority, breach of contract, manipulation of company data, pilferage of confidential/proprietary information, criminal offense, corruption, bribery, theft, conversion or misuse of the Company’s property, fraudulent claim, fraud or wilful omission to perform the duty, or leak of unpublished price sensitive information as defined under the Insider Trading Regulations, or that is economically wasteful or involving gross misconduct, incompetence or gross inefficiency and any other unethical biased favoured or imprudent act.
- **“Investigators”** mean those persons authorized, appointed, consulted or approached by the Managing Director / Competent Authority in connection with conducting investigation into a protected disclosure and includes the Auditors of the Company.
- **“Protected Disclosure”** means any communication made in good faith that discloses or demonstrates information that may evidence unethical or “Improper Activity”.
- **“Service Rules”** means the Conduct, Discipline and Appeal rules and the applicable Standing Orders, as the case may be.
- **“Subject”** means an employee against or in relation to whom a Protected Disclosure has been made or evidence gathered during the course of an investigation.
- **“Whistle Blower”** means an Employee making a Protected Disclosure under this policy and also referred in this policy as complainant.

III. SCOPE:

This Vigil Mechanism and Whistle-blower Policy (the “Policy”) sets out the procedure to be followed when making a disclosure. The Whistle Blower’s role is that of a reporting party with reliable information.

They are not required or expected to act as investigator(s) or finder(s) of facts, nor would they determine the appropriate corrective or remedial action that may be warranted in a given case.

Whistle Blowers should not act on their own in conducting any investigative activities, nor do they have a right to participate in any investigative activities other than as requested by the Audit Committee or the Investigator(s).

Protected Disclosure will be appropriately dealt with by the Vigil Committee.

This Policy covers malpractices and events which have taken place, suspected to have taken place, misuse or abuse of authority, fraud or suspected fraud, leak of unpublished price sensitive information, violation of company rules, manipulations, negligence causing danger to public health and safety, misappropriation of monies, and other matters or activity on account of which the interest of the Company is affected and formally reported by whistle blowers. This Policy is intended to encourage and enable employees to raise serious concerns within the Company prior to seeking resolution outside the Company.

IV. ELIGIBILITY:

This Policy applies to all Employees, regardless of their location. Violations will result in appropriate disciplinary action. The Protected Disclosures will be in relation to matters concerning the Company. Please familiarize yourself with this Policy, and seek advice from the Company if any questions arise.

V. DISQUALIFICATIONS:

While it will be ensured that genuine Whistle Blowers are given complete protection from any kind of unfair treatment as herein set out, any abuse of this protection will attract disciplinary action.

Protection under this Policy would not mean protection from disciplinary action arising out of false or bogus allegations made by a Whistle Blower knowing it to be false or bogus or with a mala fide intention.

Whistle Blowers, who make three or more Protected Disclosures, which have been subsequently found to be mala fide, frivolous, baseless, malicious, or reported otherwise than in good faith, will be disqualified from reporting further Protected Disclosures under this Policy. In respect of such Whistle Blowers, the Company / Audit Committee would reserve its right to take/recommend appropriate disciplinary action.

VI. GUIDING PRINCIPLES:

To ensure effective implementation of vigil mechanism, the company shall:

- Protected disclosures are acted upon in a time bound manner.
- Complete confidentiality of the Whistle Blower is maintained.
- The Whistle Blower and/or the person(s) processing the Protected Disclosures are not subjected to victimization.
- Ensure that the investigation is conducted honestly, neutrally and in an unbiased manner.
- Evidence of the Protected Disclosure is not concealed and appropriate action including disciplinary action is taken in case of attempts to conceal or destroy evidence.
- Subject of the Protected Disclosure i.e. person against or in relation to whom a protected disclosure has been made, is provided an opportunity of being heard.
- Ensure whistleblower would not get involved in conducting any investigative activities other than as instructed or requested by Chairman of the Vigil Committee.

VII. WHISTLE BLOWER – ROLE, PROCEDURES & DISQUALIFICATIONS**A. Role:**

- The Whistle Blower's role is that of a reporting party with reliable information.
- The Whistle Blower is not required or expected to conduct any investigations on his own.
- The Whistle Blower does not have any right to participate in investigations.
- Protected Disclosure will be appropriately dealt with by the Competent Authority.
- Activities which have no nexus to the working of the Company and are purely of personal nature are specifically excluded from the definition of Improper Activity.
- The Whistle Blower shall have a right to be informed of the disposition of his disclosure except for overriding legal or other reasons on his written request.

B. Procedures - Essentials and handling of Protected Disclosure, Reporting Mechanism:

The Protected Disclosure / Complaint should be attached to a letter bearing the identity of the whistle blower / complainant i.e. his/her Name, Employee Number and Location, and should be submitted in a closed secured/sealed envelope addressed to the Competent Authority which should be super-scribed "Protected Disclosure". (If the envelope is not superscribed and closed/sealed/secured, it will not be possible to provide protection to the whistle blower as specified under this policy).

The text of the complaint should be carefully drafted so as not to give any details or clues as to whistle blower identity.

If the Whistle Blower believes that there is a conflict of interest between the Competent Authority and the whistle blower, he may send his protected disclosure directly to the Chairman, Vigil Committee of the Board of Directors of the Company c/o the Company Secretary.

Anonymous or pseudonymous protected disclosure shall not be entertained.

Protected Disclosure should either be typed or written in legible handwriting in English, Hindi or Regional language of the place of employment of the whistleblower and should provide a clear understanding of the Improper Activity involved or issue/concern raised.

Protected Disclosures should be factual and not speculative or in the nature of a conclusion, and should contain as much specific information as possible to assist for proper assessment of the nature and extent of the wrongdoing and should help in investigation.

To enable the proper investigation of any Reportable Matter, a Protected Disclosure should include as much information as possible concerning the Reportable Matter. To the extent possible, the following information should be provided:

- The date of occurrence and nature of the Reportable Matter;
- The names of the Employees to whom the Reportable Matter relates;
- The relevant factual background concerning the Reportable Matter;
- The basis for the Protected Disclosure; and
- In order to protect the identity of the person, Competent Authority will not issue any acknowledgment and the whistle blowers are advised not to enter into any further correspondence.

C. Disqualifications:

Genuine Whistle Blowers will be accorded protection from any kind of unfair treatment / victimization. However, any abuse of this protection will warrant disciplinary action against him/her.

Whistle Blowers, who make any Protected Disclosures, which have been subsequently found to be motivated or malafide, or malicious or frivolous, baseless or reported otherwise than in good faith, will be liable for disciplinary action as per the applicable Service Rules.

Whistle Blowers, who make three Protected Disclosures, which have been subsequently found to be malafide, frivolous, baseless, malicious or reported otherwise than in good faith, will be disqualified from reporting further Protected Disclosure under this policy.

VIII. INVESTIGATIONS AND ROLE OF INVESTIGATORS:

On receipt of Protected Disclosure, the Competent Authority shall detach the covering letter and verify / confirm the authenticity of the Whistle Blower. On receipt of confirmation, the protected disclosure shall be forwarded to the investigators for investigation.

A. Investigation:

- Investigations will be launched only after a preliminary review by the Competent Authority which establishes that;
 - i. The alleged act constitutes an improper or unethical activity or conduct, and
 - ii. The allegation is supported by information specific enough to be investigated or in cases where the allegation is not supported by specific information but it is felt that the concerned matter deserves investigation.
- If the Competent Authority determines that an investigation is not warranted, reason(s) for such determination shall be recorded in writing.
- If the Competent Authority is prima facie satisfied that the Protected Disclosure warrants investigation of the alleged improper activity, Competent Authority will direct appropriate investigating machinery of the Company to investigate the matter.
- The decision to conduct an investigation taken by the Competent Authority is by itself not to be construed as an accusation and is to be treated as a neutral fact- finding process.
- The identity of a Subject and the Whistle Blower will be kept confidential to the extent possible given the legitimate needs of law and the investigation.
- Subjects will normally be informed of the allegations at the outset of a formal investigation and will be given opportunities for providing their inputs during the investigation.
- Subjects shall have a duty to co-operate with the Competent Authority or any of the Investigators during investigation to the extent that such co-operation will not compromise self-incrimination protections available under the applicable laws.
- Subjects have a responsibility not to interfere with the investigation. Evidence shall not be withheld, destroyed or tampered with, and witnesses shall not be influenced, coached, threatened or intimidated by the Subjects.
- Unless there are compelling reasons not to do so, Subjects will be given the opportunity to respond to material findings contained in an investigation report. No allegation of wrongdoing against a Subject shall be considered as maintainable unless there is good evidence in support of the allegation.
- Subjects have a right to be informed of the outcome of the investigation. If allegations are not sustained, the Subject should be consulted as to whether public disclosure of the investigation results would be in the best interest of the Subject and the Company.

- The investigation shall be completed normally within 45 days of the date of receipt of the protected disclosure or such extended period as the Competent Authority may permit for reasons to be recorded.

B. Role of Investigators

- Investigators are required to conduct a process towards fact-finding and analysis. Investigators shall derive their authority from Audit Committee / Competent Authority when acting within the course and scope of their investigation.
- All Investigators shall perform their role in an independent and unbiased manner. Investigators have a duty of fairness, objectivity, thoroughness, ethical behavior and observance of professional standards.

IX. PROTECTION:

- The identity of the Whistle Blower shall be kept confidential.
- No unfair treatment will be meted out to a Whistle Blower by virtue of his/her having reported a Protected Disclosure under this Policy.
- Complete protection, will be given to Whistle Blowers against any unfair practice like retaliation, threat or intimidation of termination / suspension of service, disciplinary action, transfer, demotion, refusal of promotion, or the like including any direct or indirect use of authority to obstruct the Whistle Blower's right to continue to perform his duties / functions including making further Protected Disclosure.
- If the Whistle Blower is required to give evidence in criminal or disciplinary proceedings, arrangements will be made for the Whistle Blower to receive advice about the procedure. Expenses incurred by the Whistle Blower in connection with the above, towards travel etc. will be reimbursed as per normal entitlements.
- A Whistle Blower may report any violation of the above clause to the Competent Authority who shall investigate into the same and take corrective action as may be required.
- Any other Employee assisting in the said investigation shall also be protected to the same extent as the Whistle Blower.
- Whistle Blower shall have direct access to the Chairman, Audit Committee against victimization.

X. ACTION:

If the Competent Authority is of opinion that the investigation discloses the existence of improper activity which warrants disciplinary action against the subject employee(s), the Competent Authority shall report the matter to the concerned Disciplinary Authority for appropriate disciplinary action.

The Competent Authority shall take such other remedial action as deemed fit to remedy the improper activity mentioned in the protected disclosure or to prevent the re-occurrence of such improper activity.

If the Competent Authority is of opinion that no further action on the protected disclosure is warranted, he shall so record in writing. Recording should be incorporated in the Quarterly Report to be submitted to Audit Committee.

If the Competent Authority is satisfied that the protected disclosure is false, motivated or vexatious, the Competent Authority may report the matter to the concerned Disciplinary Authority for appropriate disciplinary action against the whistle blower with a copy to Chairman, Vigil Committee for information.

XI. REPORTING AND REVIEW:

The Competent Authority shall submit report on regular basis of the protected disclosures, received and of the investigation conducted, and of the action taken report shall be submitted to the Vigil Committee of the Board of Directors of the Company annually.

The Vigil Committee shall have power to review any action or decision taken by the Competent Authority.

XII. RETENTION OF DOCUMENTS:

All Protected Disclosures in writing or documented along with the results of Investigation relating thereto shall be retained by the company for a period of five years.

XIII. AMENDMENTS:

The Company holds the right to amend or modify the policy. Any amendment or modification of the policy would be done by an appropriate authority as mandated in law. The updated Vigil mechanism would be shared with the employees, suppliers and vendors thereafter.